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County: los-angeles

Division: Civil Law and Motion

Department: E

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Case Number: 24TRCV03199 Hearing Date: July 13, 2026 Dept: E

Superior Court of California

County of Los Angeles

Southwest District

Torrance Dept. E

POLICARPIO
S. ADRIANO, an individual, and US PACKAGERS, INC., a California corporation,

Plaintiffs,

Case
No.:

24TRCV03199

vs.

[Tentative]
Denied

JUVENAL
CHIHUAHUA, an individual; PRIME PACKAGING SOLUTIONS, LLC, a California
Limited Liability Company; MARC CASEE BRAVO, an individual; LUZ IRENE LOPEZ,
an individual; JUVENAL CHIHUAHUA, JR., an individual; GRACIELA CHIHUAHUA, an
individual; MARTHA CHIHUAHUA, an individual; ROSA LAZCANO, an individual;

AMANDA ALVARADO, an individual; and DOES 1- 200, inclusive,

Defendants.

Hearing
Date: July
13, 2026

Moving Parties: Defendants Marc Bravo, Prime Packaging Solutions, LLC, Juvenal Chihuahua, Juvenal Chihuahua Jr., and Luz Irene Lopez

Responding Party: Non-Parties Adrienne Hahn and Hahn Legal Group

HEARING: Motion for Sanctions

The Court considered the moving, opposition, and reply papers.

RULING

The Court denies the Motion for Sanctions.

BACKGROUND

On September 25, 2024, Plaintiff Policarpio Adriano filed the Complaint against Defendants Juvenal Chihuahua, Prime Packaging Solutions, LLC, Marc Casee Bravo, Luz Irene Lopez, Juvenal Chihuahua, Jr., Graciela Chihuahua, Martha Chihuahua, Rosa Lazcano, and Amanda Alvarado.

On November 22, 2024, Plaintiff filed the First Amended Complaint (FAC) against Defendants alleging cause of action for conversion, breach of oral contract, breach of implied covenant, unjust enrichment, fraud, breach of fiduciary duty, unfair competition, misappropriation of trade secrets, tortious interference with prospective economic advantage, IIED, and breach of written contract.

On May 12, 2026, the Court denied Non-Parties, Adrienne Hahn, and Hahn Legal Group's Petition for Joinder or Stay of Arbitration.

On April 1, 2026, Defendants Marc Bravo, Prime Packaging Solutions, LLC, Juvenal Chihuahua, Juvenal Chihuahua Jr., and Luz Irene Lopez filed the Motion for Sanctions.

On April 29, 2026, Non-parties Adrienne Hahn and the Hahn Legal Group filed the Opposition.

On July 6, 2026, Defendant filed the Reply.

LEGAL STANDARD

An attorney or unrepresented party who presents a motion to the court makes an implied certification as to its legal and factual merit, which is subject to sanctions for violation of this certification under Code of Civil Procedure section 128.7. (Murphy v. Yale Materials Handling Corp. (1997) 54 Cal.App.4th 619, 623.) The Court may impose sanctions for conduct that violates any one of the requirements set forth in Code of Civil Procedure section 128.7, subdivision (b). (Eichenbaum v. Alon (2003) 106 Cal.App.4th 967, 976.)

Code of Civil Procedure section 128.7, subdivision (b) provides:

(b)¿By presenting to the court, whether by signing, filing, submitting, or later advocating, a pleading, petition, written notice of motion, or other similar paper, an attorney or unrepresented party is certifying that to the best of the person’s knowledge, information, and belief, formed after an inquiry reasonable under the circumstances, all of the following conditions are met:

(1)¿It is not being presented primarily for an improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation.

(2)¿The claims, defenses, and other legal contentions therein are warranted by existing law or by a non-frivolous argument for the extension, modification, or reversal of existing law or the establishment of new law.

(3)¿The allegations and other factual contentions have evidentiary support or, if specifically so identified, are likely to have evidentiary support after a reasonable opportunity for further investigation or discovery.

(4)¿The denials of factual contentions are warranted on the evidence or, if specifically so identified, are reasonably based on a lack of information or belief.

Only “an attorney or unrepresented party may be sanctioned” under the statute. (In re Marriage of Reese & Guy (1999) 73 Cal.App.4th 1214, 1221.)

“Under section 128.7, a court may impose sanctions if it concludes a pleading was filed for an improper purpose or was indisputably without merit, either legally or factually. [Citation.]” (Bucur v. Ahmad (2016) 244 Cal.App.4th 175, 189.) “A claim is factually frivolous if it is ‘not well grounded in fact’ and is legally frivolous if it is ‘not warranted by existing law or a good faith argument for the extension, modification, or reversal of existing law.’ [Citation.] In either case, to obtain sanctions, the moving party must show the party's conduct in asserting the claim was objectively unreasonable. [Citation.] A claim is objectively unreasonable if ‘any reasonable attorney would agree that [it] is totally and completely without merit.’ [Citations.]” (Id.) No showing of bad faith is required. (In re Marriage of Reese & Guy, supra, 73 Cal.App.4th, 1221.)

“The California Legislature essentially sought to replicate rule 11 [of the Federal Rules of Civil Procedure] when it enacted section 128.7.” (Musaelian v. Adams (2009) 45 Cal.4th 512, 518, fn. 2.) As a result, federal case law construing rule 11 is persuasive authority on the meaning of Code of Civil Procedure section 128.7. (Guillemin v. Stein (2002) 104 Cal.App.4th 156, 167.) Under rule 11, even though an action may not be frivolous when it is filed, it may become so if later-acquired evidence refutes the findings of a prefiling investigation and the attorney continues to file papers supporting the client's claims. (See Childs v. State Farm Mutual

Automobile Insurance Company (5th Cir. 1994) 29 F.3d 1018, 1024-1026.) As a result, a plaintiff's attorney cannot “just cling tenaciously to the investigation he had done at the outset of the litigation and bury his head in the sand.” (Id. at 1025.)

In addition, Code of Civil Procedure section 128.7 “contains a safe harbor provision. It requires the party seeking sanctions to serve on the opposing party, without filing or presenting it to the court, a notice of motion specifically describing the sanctionable conduct. Service of the motion initiates a 21-day ‘hold’ or ‘safe harbor’ period. [Citations.] During this time, the offending document may be corrected or withdrawn without penalty. If that occurs, the motion for sanctions ‘‘shall not’’ be filed. [Citations.] By mandating a 21-day safe harbor period to allow correction or withdrawal of an offending document, section 128.7 is designed to be remedial, not punitive. [Citation.]” (Li v. Majestic Industry Hills, LLC (2009) 177 Cal.App.4th 585, 590-591.) (Emphasis added.)

DISCUSSION

Defendant argues Hahn's petition under Code of Civil Procedure section 1281.2 is both legally and factually frivolous and warrants sanctions under Code of Civil Procedure section 128.7.

Defendant argues the petition is legally frivolous on its face because section 1281.2 is the mechanism to compel arbitration, not to avoid it and compel litigation. Defendant contends Hahn cannot satisfy the threshold pleading requirements of section 1281.2, which require alleging that a party refused to arbitrate, because all parties to the ADR Arbitration, including Hahn, voluntarily agreed to arbitrate, submitted to the arbitration, participated in selecting the arbitrator, and agreed to hearing dates. Defendant further argues Hahn's petition is a transparent attempt to unilaterally withdraw from the arbitration, which California courts have consistently held is impermissible once a controversy has been submitted to arbitration. Defendant also notes that trial courts may not intercede in a pending case and that Hahn provides no explanation for why she waited until after an answer was filed, an arbitrator was appointed, and hearing dates were set before filing the petition.

Defendant

also argues the petition is factually frivolous because the section 1281.2(c) third-party litigation defense Hahn invokes does not apply. Defendant contends there is no true third party to the arbitration because Defendant USP is the successor entity to West Coast, which is a party to the arbitration clause, a fact this Court itself recognized in its May 2025 disqualification order. Defendant further contends there is no possibility of conflicting rulings on common issues of fact or law because the ADR Arbitration involves Defendant Chihuahua's claims arising from 2012 and 2013 agreements to form a new business and Hahn's alleged breach of her duties as an attorney, while the claims in this action involve Defendant Chihuahua's alleged misappropriation of trade secrets and conversion of tangible property in 2024, with entirely distinct legal elements, facts, and time periods. Defendant argues Hahn's conclusory assertion that Defendant Chihuahua's ownership claim in the arbitration will conflict with Defendant USP's trade secret claims in this action is legally and factually unfounded because Defendant Chihuahua's ownership claim relates to promises made about forming a new business, not to individual ownership of Defendant USP's property or trade secrets.

Defendant
additionally argues that even if section 1281.2(c) were satisfied, the petition is still frivolous because Hahn ignores the Court's broad discretion and fails to address relevant factors, including that the ADR Arbitration is procedurally more advanced than this action with an evidentiary hearing already set for November 9, 2026 and no trial date in this action, that staying the arbitration would only delay resolution of Defendant Chihuahua's claims, and that Hahn was disqualified from this action for using confidential information obtained while representing Defendant Chihuahua, and the petition appears designed to circumvent that disqualification order and allow Hahn to return to this action and use that same confidential information against Defendant Chihuahua.

In
opposition, Hahn argues the motion for sanctions should be denied because the petition under Code of Civil Procedure section 1281.2(c) was neither legally nor factually frivolous and was not filed for an improper purpose.

On
the legal frivolousness argument, Hahn contends Defendant Chihuahua fundamentally misreads the statute by relying on Mansouri v. Superior Court, which interpreted only the general compel-arbitration provision of section 1281.2, not subdivision (c). Hahn notes that Hyundai Amco America Inc. v.

S3H, Inc. was published specifically to clarify that Mansouri does not require a formal demand and rejection as a prerequisite to relief. (Mansouri v. Sup. Court (2010) 181 Cal.App.4th 633, 640; Hyundai Amco America Inc. v. S3H, Inc. (2014) 232 Cal.App.4th 572, 574.) Hahn argues Defendant Chihuahua has never addressed or distinguished these authorities despite being cited to them during meet and confer, and that the cases Defendant Chihuahua cites in support of his frivolousness argument do not even interpret subdivision (c).

On
the factual frivolousness argument, Hahn argues Defendant Chihuahua has not identified any specific fact contentions lacking evidentiary support but merely disagrees about whether subdivision (c) applies. Hahn contends Defendant USP is not bound by the 2013 arbitration agreement because Defendant USP did not exist when it was signed and has never been compelled to arbitrate, making Defendant USP a true third party. Hahn argues that deeming Defendant USP a non-third party would effectively bind it to an arbitration agreement it never signed.
Hahn also disputes the successor-in-interest theory, noting that Defendant USP's Articles of Incorporation predate the discovery responses Defendant Chihuahua relies on, make no reference to West Coast as a predecessor, and that Defendant USP's incorporation extinguished any partnership rights.

Hahn
further argues there is a genuine possibility of conflicting rulings between the arbitration and this action because both proceedings involve the same parties, assets, employees, and transactions related to Defendant USP, its formation, and the alleged transfer of assets and employees to competitor Defendant Prime Packaging Solutions. Hahn notes that Defendant Chihuahua himself previously argued to this Court that Defendant USP continued West Coast's exact business with the same employees, clients, and vendors to support disqualification, but now takes the inconsistent position that the two proceedings are unrelated. Hahn contends the standard under subdivision (c) requires only a possibility of conflicting rulings, not certainty.

Finally,
Hahn argues the petition was not filed for an improper purpose. Hahn contends the petition was filed on November 21, 2025, before any arbitration hearing dates had been set, and that the arbitration hearing dates were not scheduled until two months later. Hahn also argues that Defendant Chihuahua waived any attorney-client privilege by suing Hahn, and that a signed conflict waiver from

2014 expressly acknowledged there would be no privilege between the jointly represented parties if litigation arose between them, making the claim that the petition was filed to exploit confidential information manufactured and unsupported.

“Under section 128.7, a court may impose sanctions if it concludes a pleading was filed for an improper purpose or was indisputably without merit, either legally or factually. [Citation.]” (Bucur, supra, 244 Cal.App.4th 175, 189.) “A claim is factually frivolous if it is ‘not well grounded in fact’ and is legally frivolous if it is ‘not warranted by existing law or a good faith argument for the extension, modification, or reversal of existing law.’ [Citation.] In either case, to obtain sanctions, the moving party must show the party's conduct in asserting the claim was objectively unreasonable. [Citation.] A claim is objectively unreasonable if ‘any reasonable attorney would agree that [it] is totally and completely without merit.’ [Citations.]” (Id.) No showing of bad faith is required. (In re Marriage of Reese & Guy, supra, 73 Cal.App.4th, 1221.)

On May 12, 2026, the Court denied the Petition for Joinder or Stay of Arbitration that Defendant now argues is frivolous. While the Petition was denied, the denial has little effect on the determination of whether the motion was frivolous.

First, the petition is not legally frivolous, as a party in interest may invoke Code of Civil Procedure section 1281.2, subdivision (c), to request that the Court order joinder of an arbitration proceeding and a civil action to avoid the possibility of conflicting rulings. (Prudential Property & Casualty Ins. Co. v. Superior Court (1995) 36 Cal.App.4th 275, 278.) Furthermore, a direct appeal can be made to the Court without a motion to compel arbitration being filed. (See Id. at 277-279.)

Second, the petition is not factually frivolous, as there were real questions regarding whether Defendant USP was a successor to West Coast and whether the arbitration could result in conflicting rulings, as evidenced by the many pages the instant motion and opposition dedicate to these issues.

Therefore, the Court denies the Motion for Sanctions.